Module 7: Other Deal Terms and PMI

Valuation (Merger gains)

DD

negotiation

↓

offer price

Close

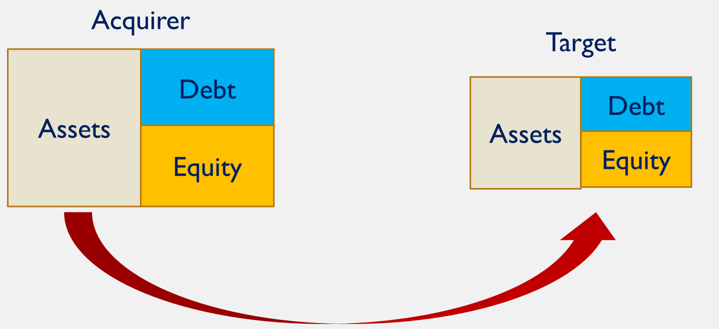
Deal structure

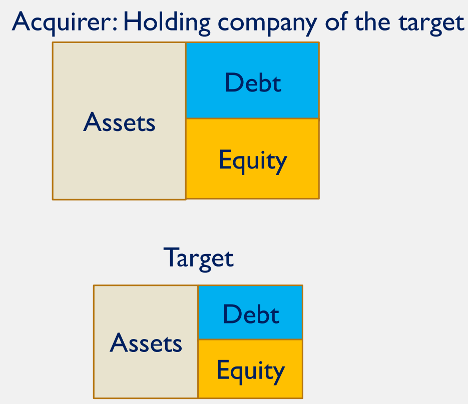
The legal forms of acquiring an Australian company

Deal structure: Acquisition of stock

- Acquisition of Stock: The acquirer buys all or the majority of the target's voting shares. 80%
  - If the target is private, this can be done via negotiation or auction.

→ parent





sub

The acquirer buys all or the majority of the target's voting shares.

Acquisition of a <u>listed</u> target's stock: Method 1: schemes of arrangement (Voting)

- <u>1. Schemes of arrangement (listed targets)</u>: a shareholder and court-approved arrangement that can be used to acquire *100%* of the shares in a listed target firm.
- How does it work?
  1. The acquirer approaches the target's board and gains support from the target's board (this is a must).
  2. The target announces a proposed "scheme" (must be friendly). Shareholders
  3. Target shareholders vote (the scheme must be approved by 75% or higher of the votes cast) in a meeting.
  4. The court sends an order approving the scheme. 100 voted 75 yes 25 no
     - *Once it is approved, the deal is <u>binding</u> to <u>all shareholders</u> of the target.*
  5. Implementation and delisting of target shares.
     - Delisting is needed because the target will have only one shareholder (which is the acquirer) after the M&A.

Acquire Only one shareholder

60%

>50%

Acquisition of a listed target's stock:
Method 2: off-market takeover bid

on-market
exchange

- 2. Off-market takeover bid (listed targets): the acquirer makes an off-market offer to buy the target's shares, often subject to certain conditions (e.g., the acquirer must successfully buy at least a certain proportion of the outstanding shares of the target; otherwise, the offer will be withdrawn), to the target shareholders.
  - The purpose is to purchase a specific proportion of the target's shares (e.g., 80%, 100%, or some other choice). 60%, 20%
  - May be friendly or hostile:
    - Friendly: the target's board is supportive of this M&A offer.
    - Hostile: the target's board is NOT supportive and recommends that target shareholders reject the offer.
  - Each shareholder of the target decides whether to *sell the shares to the acquirer*.

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Acquisition of a listed target's stock method 2: off-market takeover bid, cont'd

- How does an off-market takeover bid work?
  - 1. The acquirer first announces the intention to buy.
  - 2. The acquirer sends the M&A offer within 2 months. The statement contains:
    - The offer price and other deal terms $20.
    - The offering period (the start and expiration date of the offer) → 3 weeks
    - Acceptance condition: e.g., the offer will be valid only if the acquirer successfully acquires a certain proportion (e.g., at least 70%) of voting shares; otherwise, the deal will be withdrawn. → 80%
  - 3. The target's board makes a recommendation on whether its shareholders accept the offer.
  - 4. Shareholders of the target make their own individual decisions on whether to sell the shares.
  - E.g., Centuria Capital Group (CNI) made an off-market takeover bid for Primewest in April 2021.

Schemes → Voting 100%

takeover bid → whether to sell shares 60%

ASIC

off market takeover bid

5%

20%

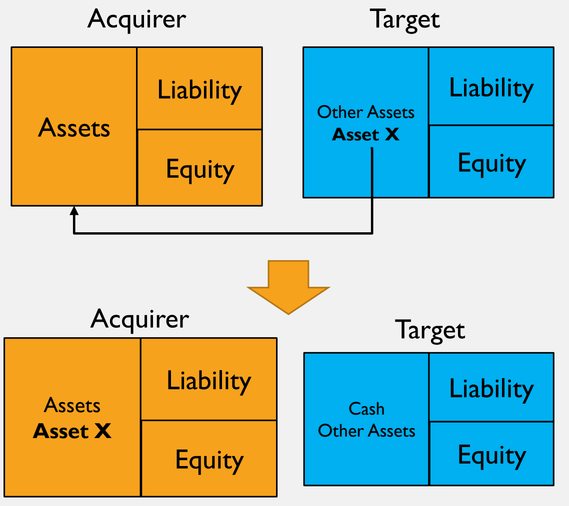
Toehold Strategy

Acquire disclose identity

Deal Structure: acquisition of assets

- The acquirer buys part of or all of the target's assets. Both parties continue to exist.
  - E.g., Uber announced to acquire part of Microsoft Bing's map assets in June 2015.

- Key benefit of this form of acquisition:
  - The acquire could avoid some unknown or contingent liabilities.



Payment Methods

- 1. Cash Payment: target shareholders receive cash in exchange for their equity ownership of the target firm.
- 2. Stock Payment: target shareholders receive the acquirer's new shares in exchange for their equity ownership in the target firm.
- 3. Mixed Payment: target shareholders receive a mix of cash and the acquirer's shares.
- 4. Earn-out (mostly for small-to-medium, private targets): target shareholders must earn part of the offer price from the post-merger profit of the target.

$10m		Acq	Business	tgt
	yr1	0	$2m	
	yr 2	0	$3m	
	yr 3	0	$0	
	y 4	0	$5m	

$1m

$2m

$3m

Payment Method1:
Cash Payment

Sell shares for cash

- Key feature of cash payment:
  - Capital gains (and taxes on capital gains) are generally triggered for the target's shareholders.
  - No direct impact on the acquirer's ownership structure.

- Discussion: what are the key advantages and disadvantages of cash payment?

fast / easy certainty

confident → Cash → strong signal

not confident → new shares riskier

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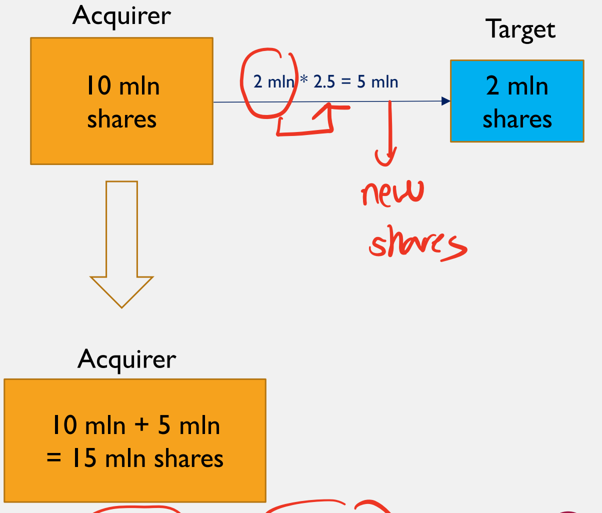
Payment Method2:
Stock Payment

- "Exchange Ratio": the number of the acquirer's new shares paid to buy one share of the target.
- For example:
  - The acquirer has 10 mln shares outstanding.
  - The target has 2 mln shares outstanding.
  - The offer price is an "Exchange Ratio"=2.5: the acquirer pays 2.5 of its new shares as the stock consideration per share for the target.

1 tgt share = # of new shares of acquirer



10m + 5m

new shares

Tgt shareholders

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Stock payment

new share issuance

payment

new shares < 20%

no protection

new shares ≥ 20%

vote

Payment Method2:
Stock Payment

- *"Daddy, I sold my frog for $10,000! I swapped him for a pair of $5,000 goldfish." — An aspiring investment banker's first deal.*

  Filippell, Mark A.. Mergers and Acquisitions Playbook (Wiley Professional Advisory Services) (p. 51).

- What are the key advantages and disadvantages of stock payment?

↳ risk sharing

↳ Acquirer shares overvalued.

↳ weak signal

↳ Dilution of control,

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Check Your Understanding

- R&F Enterprises plans to acquire Thompson & Thomson with stock payment.
- The two companies are both all-equity, and we have the following information:
  - R&F
    - Standalone total firm value= $322,000 = E
    - # of shares outstanding = 40,000
  - Thompson & Thomson
    - Standalone total firm value = $63,000 = E
    - # of shares outstanding = 10,000
  - R & F estimates the post-merger value of the firm including all merger gains is $407,000.
- If the exchange ratio is 0.8, what is the NPV of the merger from the target shareholders' perspective assuming they will keep the shares?

Cash payment = Acq Premium

12

Tgt's NPV = What Tgt Receive − What tgt give away

0.8 Acquirer share

0.8 × 10,000 = 8000 Acquirer shares

Combined Company Equity Value = 407,000

40,000 + 8,000 = 48,000 shares

Share Value after merger = $\frac{407,000}{48,000}$

= $8.48 per share

Actually Received = 8000 × $8.48

= $67,833

Tgt's NPV = 67,833 − 63,000

8000 Share | Give up

= 4,833

Payment Method3: Mixed Payment

private

- Mixed payment:
  - **Cash Consideration**: the cash part
  - **Stock Consideration**: the stock part
- Discussion: What are the key motives of using stock consideration in Signa-Chemist Warehouse M&A?

F +61 (03) 9215 9188
sigmahealthcare.com.au

12 February 2025

Merger with Chemist Warehouse – Implementation of the Scheme

Sigma Healthcare Limited (**Sigma**) is pleased to announce that its acquisition of 100% of the issued shares in CW Group Holdings Limited (**Chemist Warehouse**) by way of scheme of arrangement (**Scheme**) was implemented today.

Payment of Scheme Consideration

Sigma now holds all of the ordinary shares in Chemist Warehouse, and Chemist Warehouse is a wholly owned subsidiary of Sigma.

Chemist Warehouse Shareholders who were entitled to receive the Scheme Consideration have received $0.44646929 cash and 6.31829351 New Sigma Shares per Chemist Warehouse Share held as at the Scheme Record Date (being Thursday, 6 February 2025). There were no 'Ineligible Foreign Shareholders' under the Scheme. The New Sigma Shares issued under the Scheme will commence trading on a normal settlement basis on Thursday, 13 February 2025.

listed

Sigma

small listed company

CW → IPO

large private

1 share

$0.44

6.32 new shares

Source: Yahoo Finance

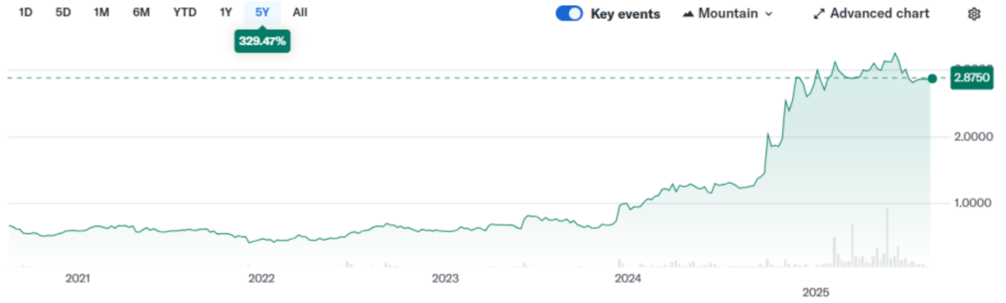
ASX - Delayed Quote • AUD

Sigma Healthcare Limited (SIG.AX) ☆ Follow + Add holdings

2.8750 +0.0150 +(0.52%)

As of 3:29:07 pm AEST. Market open.

1D 5D 1M 6M YTD 1Y 5Y All — Key events — Mountain — Advanced chart



Previous close	2.8600	Day's range	2.8600 - 2.9000	Market cap (intra-day)	33.188B	Earnings...	23 Sept 2025 - 29 Sept 2025
Open	2.8600	52-week range	1.2150 - 3.3200	Beta (5Y monthly)	0.15	Forward dividend & yield	0.01 (0.36%)
Bid	2.8700 x --	Volume	3,041,297	PE ratio (TTM)	--	Ex-dividend date	1 Oct 2024
Ask	2.8800 x --	Avg. Volume	33,354,301	EPS (TTM)	-0.0100	1y target est	2.89

How is the exchange ratio determined?

- $Exchange\ ratio = \dfrac{Stock\ consideration\ per\ share}{acquire\ new\ share\ issuance\ price}$ → practice

- Check your understanding: an acquirer's current share price is $10, but there is a 10% discount on new share issuance. The offer price made to the target is $20 per share with 60% cash consideration and 40% stock consideration. What should be the exchange ratio?

Acq new share = $10 · (1 − 10%) = $\boxed{\$9 \text{ per share}}$

$20: 40% → Stock consider $20 × 0.4 = $\boxed{\$8 \text{ per share}}$

60% → Cash consideration: 0.60 × $20 = $12

$\dfrac{\$8}{\$9}$ = 0.89 exchange ration

Keke Song

Offer price = $20

Stock cons. = 0.89 × $9 = $8

Cash cons = $12

= $20 / share offer price

0.89 × $9 = $8

Sources of Financing for Cash Payment/Consideration

- Evidence of sufficient financing sources of **cash payment** in the negotiations will be helpful for the acquirer.
- What are the potential sources of financing?

Sources of Financing

Equity quick / cheaper

not enough

Retained Earnings

New Equity

new shares

$cash →

Cash Walker

New Loans

New Bond Issuance

Seller Financing

dilution

control profit

costly

time

loan package/deal

Sources of Financing
Types of Business Loans in M&As

→ $10 million

- 1. Revolving credit facilities : acquirers can draw and repay the funds any time before the maturity date and within the maximum credit limit.
  - require some fees for establishment and service.

→ £40 mill

Quarterly semi-annually

- 2. Term loans: acquirers receive a lump sum upfront, and then repay the loan at a fixed schedule (could be a bond-type or mortgage-type payment schedule).

- 3. Bridge loans: acquirers use bridge loans as a temporary source of cash and then refinance the bridge loans with longer-term financing sources such as bonds and other loans.
  - Bridge loans have short-term maturity (two weeks to one year) ← cash shortfall
  - Bridge loans normally take shorter time to negotiate

close date

- higher interest rate

Loan Financing for Cash Payment/Consideration

9%

3 months

6%

The acquirer uses **bridge loan(s)** to finance the cash consideration in the offer price on the closing

The acquirer refinances the **bridge loan(s)** with **term-term loans** or **revolving facilities.**

Offer Accepted → Close Date → Post-M&A Period

Sources of Financing
Seller Financing

G-Class → Buyer
150K.

- Relatively more common small-to-middle market transactions.
- E.g.

Offer Price =$10 mln → $2 mln cash "down payment:
Offer Price =$10 mln → $8 mln of loan with interest from the target

At closing: Acquirer $\xrightarrow{\text{\$2mln cash}}$ Target
Acquirer $\xrightarrow{\text{owe the targe \$8 mln}}$ Target

After closing: Acquirer $\xrightarrow{\text{Loan payments}}$ Target

- If the acquirer defaults on the loan, the seller is the first in line to claim the target's assets back.

Offer price = $10m
Borrowe $8m
from ~~Bank~~
The seller

Assets

Colleteral

A Comparison between "Earnout" and "Seller Financing"

	"Earnout"	"Seller Financing"
Definition	A payment method	A financing method
Does the buyer have the obligation to pay the target if the business is not profitable after the deal closes?	No	Yes

Loan

Liability

yr 1	$3m	$2m
yr 2	$0m	$2m
yr 3	$2m	$2m
yr 4	$1m	$2m

"earnout"

→ Tgt is riskier

→ Tgt has lower negotion power

Still in place

mse

"seller financing"

→ Tgt is less risky

→ Tgt has high negotiat power

Some common questions on PMI

- **1. What is PMI?**
  - The process of two companies melding with each other after the M&A deal is done.

close → payment
transfer of ownership

- **2. Why is PMI important?**
  - The process can be slow and costly and involves job loss, organizational restructuring, derailed career, and change of corporate control.
  - Synergies resulting from the merger could only materialize in PMI. → Finance department
- **3. What will happen if PMI fails?**
  - If PMI fails, the acquirer will suffer huge losses and need to sell the target:
    - E.g., Daimler-Benz's acquisition of Chrysler for $35 bln in 1998 and sold Chrysler for $7.4 bln in 2007.

What went wrong in Daimler-Chrysler PMI?

Culture	German engineering spirit	American cost-cutting culture
Brand image	Luxury, engineering excellence	Affordable, family-friendly

PMI challenge

- Chrysler's staff resented the perception that their products were inferior.
- Mercedes was reluctant to trust the factory line and quality control system used by Chrysler.
- Some Mercedes-Benz dealers were reluctant to even offer Chrysler's cars.

Source: https://www.theguardian.com/business/2007/may/14/motoring.lifeandhealth

Some common questions on PMI, cont'd

- **4. When does PMI start?**
  - Effective PMI should start in the *due diligence stage* (rather than the deal close or completion day).
  - In due diligence, the acquirer should
    1. conduct cultural assessment
    2. identify potential issues/barriers to integration success
    3. select integration manager
    4. develop communication strategy
- **5. How long does PMI take?**
  - The quicker, the better!
  - The acquirer should aim to complete PMI within 12 months.
  - But in reality, PMI often takes 12 to 24 months.

Some common questions on PMI, cont'd

- **6. Who does PMI?** : IT / HR / Legal.
  - Hire consulting firms (e.g., KPMG) → Functional Department
  - In-house M&A staff: Bus. Dev. Strategic Transaction
    - Corporate Development: Some companies have a corporate development department specializing in executing M&A transactions.
    - Integration manager: → Operation, production, marketing
      - Executives, such as the COO or CFO, could assume the role and lead the PMI team.
      - Functions: (a) manage the PMI process; (b) communication
- Evidence suggests that firms with specialized M&A staff (e.g., integration manager or corporate development) make better M&As.
  - Gokkaya, Liu and Stultz (2023)

7:50 pm

Some lessons in PMI

- 1. Starts early. (e.g., in due diligence)
- 2. A slow or delayed post-merger integration is almost always disastrous.
- 3. Communication matters! Answer the question to the target employees and management: "Do I have a job?"
- 4. Be culture-sensitive and restructure with respect.

Home base   Acquir   Tgt

Westfarmers

1. Define integration objectives

List the expected one or two-year outcomes of the integration

- Ashkenas et al. proposes a four-dimensional PMI goals (Source: "The Merger Dividend" , Ashkenas, Francis, Heinick,2011). For example:

Financial • Reduce overhead costs by $5 million per share by year 1 • ROE increase to 15% by year 1	**Strategic** • Increase the market share to 15% by year 1 • Develop 5 new products by year 2
Operational • Shut down 5 headquarters in southeast Asia • Combine 2 R&D centers	**Organizational** • Reduce workforce by 50 employees by year 1 • Integrate and restructure the senior management team by year 1

2. Common types of integration

Degree of integration	Minimum →				Maximum
M&A type	Conglomerate	Vertical	Product Extension	Geographic Extension	Horizontal

Integration type	Intact Subsidiary: The target firm remains as an intact subsidiary and keeps its existing management	Functional Integration: HR, IT, accounting, and legal functions are integrated.	Operational/full Integration: Not only HR, IT, accounting, and legal functions, but also production, marketing, etc. are integrated.
Affected target's employees	No impact	Functional department employees	Senior management team; All other employees
Objectives	Diversification; Undervalued target;	Shared overhead; Cost reduction; Personnel reduction	Broader scope of synergies/objectives
Risk level	Low	Medium	Higher

low risk
low return.

Same products
competition
ANZ / CBA
Toyota / Honda
Open AI / Anthropic

MKT power.
competition
economy of scale